



United States
Attorney's Office
Eastern District of Arkansas



Little Rock Psychologist Indicted by Federal Grand Jury for Defrauding Medicare and Arkansas Blue Cross Blue Shield

Wednesday, November 19, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Arkansas

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LITTLE ROCK—A Little Rock psychologist has been indicted for defrauding Medicare and Arkansas Blue Cross and Blue Shield (Blue Cross) and creating fictitious records to conceal her wrongdoing. Krameelah Banks, 48, of Little Rock, faces twenty-three counts of wire fraud, seven counts of making false statements in connection with health care, one count of lying to the FBI, and one count of aggravated identity theft. Jonathan Ross, U.S. Attorney for the Eastern District of Arkansas, Alicia Corder, Special Agent in Charge of the FBI Little Rock Field Office, and Jason Meadows, Acting Special Agent in Charge of the Dallas Regional Office of the U.S. Department of Health and Human Services, Office of the Inspector General, announced the charges.

According to the indictment, Banks owned and operated Arkansas Behavioral Center (ABC). Although Banks treated some regular patients who received ongoing psychotherapy, most of her patients were referrals who were seen just once for the sole purpose of receiving pre-surgical psychological evaluations. It is alleged that from 2021 through 2023, Banks billed for thousands of hours of psychology services that never took place by routinely charging Medicare and Blue Cross for ongoing psychotherapy in the names of persons who were referral patients seen only once, causing insurers to lose over \$500,000.

The indictment alleges that Banks billed for services rendered at ABC while vacationing in Florida and Mexico, Banks billed for more than 24 hours' worth of services rendered in a single day. The

indictment also alleges that Banks billed for over 130 sessions rendered to several patients who had long since died.

According to the indictment, Banks responded to inquiries about disputed claims by creating fictitious records and even recycled such entries by providing nearly identical records to Medicare and Blue Cross. The indictment goes on to allege Banks later misled the FBI by blaming any overbilling on her online calendaring software.

An indictment contains only allegations. The defendant is presumed innocent until proven guilty.

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Updated November 19, 2025

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